

Securities Act, 2007

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 23

Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Securities Act, 2063".

(2) This Act shall be deemed to have commenced from Ashoj 6, 2063. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Chairperson" means the Chairperson of the Board appointed pursuant to Section 7.

(b) "License" means the license granted by the Board under this Act to operate a securities market or to carry on securities business.

(c) "Company" means a company established under the prevailing law relating to companies.

(d) "Depository" means a bank or financial institution that assumes responsibility to provide custodial services, such as securely holding and operating the assets of a collective investment scheme by entering into an agreement with the scheme manager.

(e) "Prescribed" or "as prescribed" means as prescribed in the rules made under this Act.

(f) "Securities" means shares, stocks, bonds, debentures, debenture stocks, or certificates relating to collective investment schemes issued by an organized institution, or debt instruments, savings certificates, or bonds issued by the Government of Nepal or issued by an organized institution with the guarantee of the Government of Nepal, and said word also includes other securities designated by the Board as being capable of being traded or transferred through the securities market, or options to purchase, sell, or exchange such securities.

(g) "Securities transaction" means the issuance, purchase, sale, or exchange of securities and other related activities.

(h) "Registration of securities" means the registration of securities by an organized institution with the Board pursuant to Section 27.

(i) "Securities market" means a market, place, or facility that brings purchasers and sellers of securities together to continuously complete the purchase, sale, or exchange of securities.

(j) "Securities business" means securities transactions conducted under this Act by a company or institution licensed to conduct securities business.

(k) "Securities trader" means a company or institution licensed under Section 58 to conduct securities business.

(l) "Issuance" means the offer made by an organized institution to raise capital by issuing securities and related activities, and said word also includes the act of issuing securities to founders.

(m) "Private placement" means the act of offering securities for sale to a maximum of fifty investors through letters, correspondence, or any electronic communication medium.

(n) "Board" means the Nepal Securities Board established pursuant to Section 3.

(o) "Exchange" means the purchase, sale, or transfer of securities already issued under this Act.

(p) "Prospectus" means the prospectus required to be published under Section 30 by an organized institution prior to the public issuance of securities.

(q) "Scheme manager" means an organized institution that manages a collective investment scheme of participants, aiming to provide expert investment services under this Act.

(r) "Investment fund" means a fund or assets related to such fund created from the amounts deposited by participants in a collective investment scheme on a contractual basis, assumed under its responsibility by a scheme manager for the purpose of providing expert investment services, and said word also includes additional assets created from the investment management of the fund or assets assumed under its responsibility by the scheme manager under this Act and amounts accumulated as returns.

(s) "Participant" means a person or institution investing amounts in a collective investment scheme operated by a scheme manager under this Act.

(t) "Member" means a member of the Board, and said word also includes the Chairperson.

(u) "Organized institution" means an organized institution established under the prevailing law capable of making a public issuance of securities.

Provided that said word shall not mean a private limited company or a cooperative organization.

(v) "Public issuance" means an offer made by an organized institution to the general public by publishing a prospectus to sell its securities.

(w) "Collective investment scheme" means an investment fund, unit fund, or other similar participatory fund management programs as prescribed by the Board from time to time, operated by a scheme manager under this Act, where savings and investment amounts mobilized with the participation of various persons or institutions are taken under its responsibility and the returns obtained through expert investment services thereof are distributed proportionately to the participants of the concerned program.

(x) "Listing" means the listing of securities on a securities market for the purpose of purchasing, selling, or exchanging securities through that securities market.

(y) "Rights issuance" means an offer made by an organized institution in such a way that existing shareholders or any person nominated by them can purchase the securities issued by it. Chapter-2

Provisions relating to the Board

3. Establishment of the Board: (1) For the development of the capital market, to protect the interests of investors investing in securities, to regulate the issuance, purchase, sale, distribution, and exchange of securities, and to regularize and systematize the work and activities of persons involved in the securities market and securities business, a Board called the Nepal Securities Board is established.

(2) The Board established pursuant to sub-section (1) shall consist of the following members:-

(a) A person appointed by the Government of Nepal ? Chairperson

(b) Joint Secretary, Ministry of Finance ? Member

(c) Joint Secretary, Amended by Some Nepal Acts Amendment Act, 2072.

Ministry of Law, Justice and Parliamentary Affairs ? Member

(d) Representative, Nepal Rastra Bank ? Member

(e) Representative, Institute of Chartered Accountants of Nepal ? Member

(f) Representative, Federation of Nepalese Chambers of Commerce and Industry ? Member

(g) One person nominated by the Government of Nepal from among experts who have obtained at least a Master's degree from a recognized university in economics, management, finance, commerce, or law and have at least seven years of experience in the securities market, management, capital market development, financial or economic sector ? Member

(3) When the concerned institution nominates a representative pursuant to clauses (e) and (f) of sub-section (2), it shall nominate a person who has obtained at least a Bachelor's degree and has worked for at least seven years in the fields of accountancy, industry, commerce, finance, banking, economics, or law.

(4) The term of office of the member nominated pursuant to clause (g) of sub-section (2) shall be three years.

(5) No act or proceeding of the Board shall be invalid merely by reason of a vacancy in the office of any member.

(6) An authorized officer of the Board, as designated by the Board, shall act as the Secretary of the Board.

(7) The Board may, if it deems necessary, invite any domestic or foreign expert or advisor to participate as an observer in a meeting of the Board.

(8) The central office of the Board shall be located in the Kathmandu Valley, and the Board may open branch offices or liaison offices within or outside Nepal as required. 4. Board to be an Autonomous and Corporate Body: (1) The Board is an autonomous and corporate body with perpetual succession.

(2) The Board shall have its own separate seal for all its acts and proceedings.

(3) The Board may, like an individual, acquire, hold, purchase, sell, or otherwise dispose of movable and immovable property.

(4) The Board may, like an individual, sue or be sued in its own name. 5.

Functions, Duties, and Powers of the Board: The functions, duties, and powers of the Board shall be as follows:- (a) to provide necessary advice to the Government of Nepal on matters relating to the development of the capital market, (b) to register securities of an organized institution established to make a public issuance of securities, (c) to regularize and regulate the issuance, transfer, sale, and exchange of registered securities, (d) to grant permission to an organized institution wishing to operate a securities market, subject to this Act or the rules and regulations made under this Act, (e) to regulate and monitor the activities of the securities market, (f) to oversee whether the securities market is conducting its activities in accordance with this Act or the rules and regulations made under this Act, and if found not, to suspend or revoke the license of the securities market, (g) to grant licenses to companies or institutions wishing to conduct securities business, subject to this Act or the rules and regulations made under this Act, (h) to regulate and monitor the activities of securities traders, (i) to classify and grade securities traders according to their work and capacity after completing the prescribed process, (j) to approve the operation of collective investment schemes and investment fund programs and to regulate and monitor them, (k) to approve the regulations of institutions

related to the securities business involved in the securities market and securities transactions, and to order amendments to such regulations as necessary to make provisions for the development of the capital market and the protection of the interests of investors investing in securities, (l) to systematize the clearing and settlement of securities transactions, (m) to oversee whether a securities trader maintains the prescribed conduct under this Act or the rules, regulations, and directives made under this Act while conducting securities business, and if found not maintaining such conduct, to suspend or revoke the license to conduct securities business, (n) to make or cause to be made necessary arrangements for the promotion, development, and clean operation of the securities market by regulating the volume of securities and the method of transactions, (o) to make necessary arrangements to prevent insider trading of securities or other offenses related to securities transactions as mentioned in Chapter-9, for the protection of the interests of securities investors, (p) to review or cause to be reviewed the financial statements submitted by an organized institution issuing securities and securities traders, and to give necessary directions in this regard to the concerned organized institution, (q) to systematize and make transparent the acquisition of shares, whether in bulk or in installments, resulting in control over the management of a company, (r) to coordinate with and seek or provide cooperation from relevant bodies for supervision and regulation of matters relating to securities or companies, (s) to perform or cause to be performed other necessary tasks relating to securities and capital market development.

6. Board Meetings and Decisions: (1) The Chairperson shall call meetings of the Board as required. Such meetings shall be held at least once a month.

(2) A meeting of the Board shall be held on the date, time, and place fixed by the Chairperson.

(3) The Chairperson shall preside over the meetings of the Board, and in the absence of the Chairperson, a member chosen by the members from among themselves shall preside over the meeting.

(4) If at least two members make a written request for calling a meeting of the Board, the Chairperson shall call the meeting within seven days from the date of receipt of such request.

(5) The Secretary of the Board shall provide the members with the notice of the Board meeting along with the agenda of items to be discussed in the meeting.

(6) If more than fifty percent of the total number of members are present, the meeting of the Board shall be deemed to have constituted a quorum.

(7) The opinion of the majority shall prevail in Board meetings, and in case of a tie, the person presiding over the meeting shall have a casting vote.

(8) The names of the members present, the subjects discussed, and the decisions made at each meeting of the Board shall be recorded in a separate decision book, which shall be signed by the members present.

(9) Decisions made by the Board shall be certified by the Secretary of the Board and made available to all members.

(10) Other procedures relating to meetings of the Board shall be as determined by the Board itself.

7. Appointment of Chairperson: (1) The Government of Nepal shall, subject to sub-section (2), appoint a Chairperson to act as the administrative chief of the Board and to conduct its day-to-day business.

(2) When appointing the Chairperson under sub-section (1), the Government of Nepal shall appoint a suitable person from among reputed persons who have obtained at least a Master's degree and have worked for at

least seven years in the field of securities market management, capital market development, economics, finance, commerce, management, or law.

(3) For the purpose of recommending names for the appointment of the Chairperson under sub-section (2), there shall be a committee consisting of the member of the National Planning Commission looking after the relevant sector as coordinator, the Secretary of the Ministry of Finance, and an expert related to the securities sector.

The appointment of the Chairperson under this section shall be made on the recommendation of such committee.

(4) When recommending names, the committee under sub-section (3) shall recommend the names of at least three persons who meet the qualifications under this Act.

(5) The committee under sub-sections (3) and (4) shall determine its own procedure for recommending the name of the Chairperson.

(6) The term of office of the Chairperson shall be four years, and such person may be reappointed for a maximum of one additional term of four years.

(7) Notwithstanding anything contained elsewhere in this section, if the Chairperson acts in a manner causing loss or damage to the Board or contrary to the interests of the Board or the development of the capital market, the Government of Nepal may, by forming an inquiry committee as prescribed, remove him from the office of Chairperson on the recommendation of such committee. Provided that, before such removal, the Chairperson shall be given a reasonable opportunity to submit a defense in his favor.

8. Functions, Duties, and Powers of the Chairperson: (1) The functions, duties, and powers of the Chairperson shall be as follows:-

(a) to carry out necessary functions to develop the capital market and protect the interests of investors investing in securities,

(b) to regulate and monitor, or cause to be regulated and monitored, the transactions of the securities market and securities traders to make securities transactions sound, effective, and reliable,

(c) to work as the executive chief of the Board,

(d) to submit to the Board, for approval, long-term and short-term plans and policies to be adopted by the Board for securities market management and capital market development,

(e) to call or cause to be called meetings of the Board and to preside over them,

(f) to prepare the annual program and budget of the Board and submit them to the Board for approval,

(g) to implement or cause to be implemented the decisions made by the Board,

(h) to inspect and supervise the daily work of the Board and to work in accordance with the objectives of the Board,

(i) to appoint advisors and employees required by the Board as prescribed,

(j) to perform or cause to be performed other duties assigned by the Board.

(2) Other functions, duties, and powers of the Chairperson, in addition to those mentioned in sub-section (1), shall be as prescribed.

9.

Remuneration, Meeting Allowance, and Other Facilities of the Chairperson and Members: The remuneration, meeting allowance, and other facilities to be received by the Chairperson and members, and the daily and travel allowances to be received by the Chairperson and members while traveling within or outside Nepal on the business of the Board, shall be as prescribed.

10. Qualification of the Chairperson and Members: To be appointed as Chairperson or member, a person must possess the following qualifications:- (a) be a citizen of

Nepal, (b) be of high moral character, (c) have obtained at least seven years of professional experience in the field of securities market management, capital market development, economics, finance, commerce, management, or law, and (d) not be disqualified under Section 11.

11. Disqualification of the Chairperson and Members: The following persons shall not be qualified to be appointed as Chairperson or member:- (a) an office bearer of a political party, (b) a person involved in the securities business, (c) a person who has been adjudged insolvent for inability to pay debts, (d) a person of unsound mind, (e) a person who has been punished by a court for a criminal offense involving moral turpitude.

12. Circumstances for Vacation of Office by the Chairperson and Members: (1) The Government of Nepal shall remove the Chairperson or a member if circumstances for vacation of office under sub-section (2) arise. Provided that, before such removal, the Government of Nepal shall not deprive the concerned person of a reasonable opportunity to submit a defense. (2) The Chairperson or a member shall vacate office in any of the following circumstances:- (a) if he becomes disqualified to be the Chairperson or member under Section 11, (b) if he acts contrary to the interests of securities investors or to the detriment of capital market development, (c) if there is a lack of competence to implement or cause to be implemented the tasks to be performed by the Board to achieve its objectives under this Act or the rules made under this Act, (d) if, due to bad conduct, his certificate has been revoked or he has been prohibited from practicing any profession or business, (e) if he remains absent from Board meetings for more than three consecutive times without notice.

13. Resignation by the Chairperson and Members: The Chairperson or a member may resign from his office by submitting written resignation to the Government of Nepal.

14. Filling of Vacancy: If the office of the Chairperson or a member falls vacant before the expiry of the term, the Government of Nepal shall, after completing the process under this Act, appoint a person to that office for the remaining period.

15.

Acts not to be Invalidated: No act or proceeding of the Board shall be invalid merely by reason of any irregularity in the appointment of the Chairperson or member or in the formation of the Board, or by reason of a vacancy in the office of the Chairperson or member.

16. Power to Form Committees or Sub-Committees: (1) The Board may form committees or sub-committees as required for carrying out its functions. The member designated by the Board shall be the coordinator of the committee or sub-committee so formed. (2) The functions, duties, powers, scope of work, meeting allowance, and procedures of the committees or sub-committees formed under sub-section (1) shall be as determined by the Board.

17. Delegation of Powers: (1) The Board may, as required, delegate some of its powers to the Chairperson, any member, or a committee or sub-committee formed under Section 16. (2) The Chairperson may, as required, delegate some of his powers to any member, a committee or sub-committee formed under Section 16, or any employee of the Board.

18. Duty to Disclose Private Interest: If a proposal in which a member has a direct or indirect private interest is to be discussed at a Board meeting, such member shall inform the Board thereof before the commencement of such discussion. Except with the permission of the Board, such member shall not participate in the discussion and decision on that proposal or express his opinion. Provided that, for the purpose of making up the quorum, the presence of such member shall be valid.

19. Provision Relating to Accounts Officer, Advisors, and Employees: (1) There shall be the required number of accounts officers, advisors, and employees in the Board for the effective functioning of the Board. (2) The appointment, remuneration, facilities, and terms of service of the accounts officers, advisors, and employees in the Board shall be as prescribed.

20. Oath to be Taken: The Chairperson, members, advisors, and employees appointed for the first time in the Board shall, before commencing their official duties, take an oath of confidentiality and honesty as prescribed.

21.

Confidentiality: (1) The Chairperson, members, advisors, employees, auditors, agents, or representatives of the Board shall not do the following:- (a) disclose or reveal to others any confidential information or

knowledge obtained in the course of performing official duties, (b) use such information or knowledge for personal benefit. (2) Notwithstanding anything contained in sub-section (1), confidential information or knowledge obtained may be brought to light in the following circumstances in accordance with the procedure prescribed by the Board:- (a) when performing duties publicly, assisting law enforcement agencies, or when such information or knowledge is brought to light due to a court order or an order given by an authorized officer, (b) when such information or knowledge is provided to the external auditor of the Board in the course of performing duties, (c) when such information or knowledge is brought to light in the interest of the Board in the course of legal proceedings. 22. Fund of the Board: (1) The Board shall have its own separate fund. (2) The fund under sub-section (1) shall consist of the following amounts:- (a) grants and other amounts received from the Government of Nepal, (b) grants, assistance, or loans received from domestic, foreign, or international associations, institutions, or bodies, Provided that, while taking such grants, assistance, or loans, prior approval of the Government of Nepal shall be obtained. (c) amounts received as license fees, (d) amounts received as securities registration fees, (e) fees, charges, and levies received for conducting or causing securities transactions, (f) amounts received as fines imposed by the Board, (g) amounts received from any other sources. (3) All amounts received by the Board under sub-section (1) shall be deposited by opening an account in any commercial bank located in Nepal. (4) All expenses incurred on behalf of the Board shall be borne from the amounts deposited in the fund under sub-section (1). (5) When incurring expenses under sub-section (4), expenses shall be incurred on the basis of the budget approved by the Board for income and expenditure for each fiscal year. (6) The operation of the Board's fund shall be as prescribed. 23.

Provision of Endowment Fund: (1) The Board may establish an endowment fund to manage its income sources, and such amount as determined by the Board shall be deposited in that fund each year. (2) The amount in the endowment fund may be kept in securities issued by the Government of Nepal or by opening a term account as prescribed by the Board. (3) Generally, except for the income generated from the endowment fund, the amount in that fund shall not be expended. (4) Provisions relating to the operation of the endowment fund shall be as prescribed. 24. Accounts of the Board: (1) The Board shall keep the records of its activities updated. (2) The Board shall, within a maximum of six months after the end of the fiscal year, prepare and keep the income and expenditure account, balance sheet, and accounting details of that fiscal year according to an accounting system conforming to international practices. 25. Auditor and Audit: (1) The audit of the accounts and records of the Board shall be conducted by the Auditor General or by an auditor designated by him. (2) When auditing the accounts and records of the Board, the auditor appointed under sub-section (1) shall, among other things, mention the following in his audit report:- (a) whether the income and expenditure statement shows a true and fair view of the Board's income and expenditure for that fiscal year, (b) whether the balance sheet of that fiscal year gives a true and fair view of the Board's financial position. 26. Annual Report: (1) The Chairperson shall present the annual report on the activities of the Board to the Board within four months from the date of the end of each fiscal year, and a copy of such report shall also be made available to the Government of Nepal. (2) The Chairperson shall publish the annual report of the Board as mentioned in sub-section (1) publicly each year. Chapter-3 Registration and Issuance of Securities 27.

Registration of Securities: (1) An organized institution shall register with the Board any securities to be issued by it prior to such issuance. (2) For the purpose of registering securities under sub-section (1), an organized institution shall submit an application to the Board in the prescribed format, along with its memorandum and articles of association, documents related to the securities, and the prescribed fee. (3) Upon receipt of an application under sub-section (2), the Board shall, after making necessary inquiry, if deemed appropriate,

register such securities with details in the registration book as prescribed and issue a certificate of registration of securities to the concerned organized institution in the prescribed format. (4) Notwithstanding anything contained elsewhere in this section, an organized institution that has already issued securities prior to the commencement of this Act shall register such securities with the Board under this Act within one year from the date of commencement of this Act. 28. Sale and Transfer of Securities: (1) If an organized institution allocates or sells securities after their registration, it shall give notice to the Board within seven days, along with details of the securities so allocated or sold. (2) After receipt of notice under sub-section (1), if it appears necessary to make the allocation and sale of such securities clean and informative for the benefit of investors and the organized institution, the Board may give necessary directives to the concerned organized institution. It shall be the duty of the concerned organized institution to comply with such directives. 29. Public Issuance of Securities Required: (1) If an organized institution is to sell or distribute securities to more than fifty persons at one time, it shall make a public issuance for such sale or distribution of securities. (2) The period during which applications for securities issued under sub-section (1) remain open shall be as prescribed. (3) Provisions relating to the price and allocation of publicly issued securities shall be as prescribed. (4) If securities already publicly issued once need to be re-issued within one year due to non-sale, the organized institution issuing such securities may, with the approval of the Board, issue the securities by placing the previously published prospectus together with details of changes from the matters mentioned therein. 30. Prospectus to be Published: (1) For making a public issuance of securities under this Act after the commencement of this Act, an organized institution shall have the prospectus approved by the Board and publish such prospectus for the information of all concerned.

When publishing the prospectus, places where the general public can obtain or view the prospectus shall also be specified in the prospectus. (2) Notwithstanding anything contained in sub-section (1), it shall not be necessary to issue a prospectus when issuing the following securities:- (a) securities issued by Nepal Rastra Bank, (b) securities issued with the full guarantee of the Government of Nepal, (c) securities offered for sale to a maximum of fifty persons at one time, (d) securities issued to its workers or employees, (e) securities approved by the Board for issuance and sale without issuing a prospectus. 31. Approval of Prospectus: The Board shall only approve a prospectus that contains information sufficient for investors to evaluate the assets and liabilities, financial condition, profit and loss, and expected future matters of the issuer. 32. Matters to be Mentioned in the Prospectus: General matters to be mentioned in the prospectus, the capital and other information of the issuer, main businesses of the issuer, information relating to legal proceedings, the financial condition of the issuer, general administration, management, information relating to the expert preparing the prospectus and the financial statements included in the prospectus, and other matters shall be as prescribed. 33. Responsibility for Matters Stated in the Prospectus: (1) The concerned organized institution and the directors signing the prospectus and the expert preparing such prospectus shall be held individually or jointly responsible for the truthfulness of the details and information mentioned in the prospectus submitted to the Board for the purpose of registering securities and obtaining issuance approval. (2) If, after a person purchases securities relying on the matters stated in the prospectus, the investor suffers any loss or damage due to the matters stated in the prospectus being made with bad faith or knowingly false or incorrect, the institution, directors, or expert preparing the prospectus under sub-section (1) shall compensate for such loss or damage. Provided that a director who resigns prior to the decision made with bad faith or knowingly, or who proves that he was unaware of the falsity of the prospectus, shall not be required to bear such compensation. (3) If an investor suffers loss or damage due to a prospectus, notice, information, or details submitted by an organized institution to the Board being false, the investor may file a complaint in the concerned district court within thirty-five days from the date of knowledge within one year of

the investment, claiming compensation. 34.

Organized Institution to Give Information: (1) An organized institution issuing securities shall provide information to the Board and shareholders as soon as possible regarding the following matters:- (a) matters necessary and helpful for evaluating its financial position, (b) information affecting the trading of securities on the securities market or the price of securities. (2) In addition to the matters mentioned in sub-section (1), an organized institution issuing securities shall also provide notices and information as prescribed to the Board and shareholders. 35. **Compensation if Listing is Cancelled:** If an organized institution issuing securities has listed securities with a securities market by agreement, and if the securities market cancels the listing of such securities due to failure by such organized institution to comply with matters required to be complied with under this Act or the rules or regulations made under this Act, and if shareholders suffer any loss or damage due to such cancellation of listing, the directors of that organized institution shall, individually or jointly, pay compensation to such shareholders. **Chapter-4 Provisions Relating to Securities Market** 36. **License Required to Operate Securities Market:** (1) A person wishing to operate a securities market shall obtain a license to operate a securities market from the Board under this Act. (2) No person shall, without obtaining a license from the Board under this Act, operate a securities market or cause or perform the purchase, sale, or exchange of securities, and no person shall even use the name of a securities market without obtaining such license. (3) Notwithstanding anything contained in sub-section (2), the Nepal Stock Exchange existing at the time of commencement of this Act shall, within one year from the date of commencement of this Act, submit an application to the Board to obtain a license to operate a securities exchange under this Act. Until the expiry of that period, the Nepal Stock Exchange shall not be deemed to have encountered any obstacle in operating a securities exchange under this Act. (4) If the Nepal Stock Exchange does not submit an application to the Board for a license to operate a securities market within the period under sub-section (3), the Nepal Stock Exchange shall not be entitled to operate a securities market after the expiry of such period. (5) Notwithstanding anything contained elsewhere in this section, after the commencement of this Act, if a securities market is to be established as a limited liability company under the prevailing law relating to companies, the Office of the Company Registrar shall do so only on the recommendation of the Board. 37.

Application for License to Operate Securities Market: (1) Only an organized institution may submit an application to the Board for a license to operate a securities market. (2) An organized institution shall submit an application under sub-section (1) to the Board in the prescribed format, attaching prescribed details and documents and the fee. 38. **Grant of License to Operate Securities Market:** (1) Upon receipt of an application under Section 37, the Board may, after making necessary inquiry, if satisfied with the following matters, grant a license to operate a securities market to the applicant organized institution in the prescribed format:- (a) if it appears that granting the license to operate a securities market would be in the interest of investors and the general public, or that granting such license is necessary for the proper operation of the securities market, (b) if the applicant organized institution has fulfilled the matters mentioned in sub-section (2). (2) An organized institution submitting an application to the Board for a license to operate a securities market under sub-section (1) shall mention the following matters in the application:- (a) that the organized institution is established with the objective of establishing and operating a securities market under the legal provision or memorandum establishing the organized institution, (b) that the organized institution shall maintain a paid-up capital as prescribed by the Board, not falling below five crore rupees, as long as it operates the securities market, (c) that there are sufficient bases for the organized institution, to the satisfaction of the Board, to provide the necessary arrangements, infrastructure, and facilities required to operate the securities market, (d) matters relating to listing or similar other arrangements to recognize securities to be traded through it, (e) that, from the regulations proposed by the organized institution for operating the securities market and the

arrangements and methods to be adopted for transaction operations, securities transactions will be conducted regularly and the interests of investors will be protected, (f) that suitable arrangements have been made for the clearing and settlement of transactions conducted on the securities market and for publishing records thereof and details of transactions, (g) that it is capable of properly inquiring into complaints received regarding transactions made by its members, (h) that if its members fail to fulfill their obligations as per contract, action shall be taken as mentioned in the regulations in that regard. 39. Board may Impose Conditions: (1) While granting a license to operate a securities market, the Board may impose necessary conditions, taking into account the condition of the capital market, the healthy operation of the securities market, and the interests of investors.

It shall be the duty of the concerned securities market to comply with such conditions. (2) The Board may, as required, add, subtract, or alter the conditions imposed under sub-section (1), taking into account the condition of the capital market, the healthy operation of the securities market, and the interests of investors. 40. Refusal to Grant License to Operate Securities Market: (1) Notwithstanding anything contained in Section 38, the Board may refuse to grant a license to operate a securities market to an organized institution in the following circumstances:- (a) if it is not necessary to operate a securities market based on the development of industry and business and the potential for existing securities transactions, (b) if it does not seem appropriate or suitable to allow the operation of a securities market for the protection of the interests of investors. (2) If an organized institution is not to be granted a license to operate a securities market in the circumstances mentioned in sub-section (1), the Board shall notify the concerned organized institution stating the reasons therefor. 41. Minimum Capital and Financial Resources: The paid-up capital of an organized institution operating a securities market shall be as prescribed by the Board from time to time, not falling below five crore rupees, and such institution shall maintain sufficient financial resources for the market arrangements it operates. 42. Duration and Renewal of License to Operate Securities Market: (1) A license granted to operate a securities market shall remain valid only until the end of the fiscal year in which it is issued. (2) An organized institution operating a securities market shall, within three months after the end of each fiscal year, pay the prescribed annual fee to the Board and renew the license to operate the securities market. (3) If the license cannot be renewed by paying the annual fee within the period under sub-section (2), the license may be renewed by paying a penalty of twenty-five percent of the annual fee within three months after the expiry of that period. (4) If an organized institution does not renew such license even within the period under sub-section (3), the license to operate the securities market obtained by it shall be cancelled. 43.

Trading Only in Recognized Securities: (1) A securities market shall only provide market management for securities that have been recognized for trading by listing or by making similar other arrangements as specified in its bye-laws, for securities issued by organized institutions. (2) The work and activities relating to the purchase, sale, or exchange of securities not listed on a securities market shall be as prescribed. 44. Managerial Responsibility of the Securities Market: The board of directors of a securities market shall be responsible for the management of securities transactions conducted by that securities market. 45. Functions, Duties, and Powers of the Securities Market: The functions, duties, and powers of the securities market shall be as follows:- (a) to conduct or cause to be conducted securities transactions occurring through it in a transparent, clean, and regular manner, (b) to conduct or cause to be conducted operations, keeping in mind the interest of the general public investors, (c) to cause its members to fully comply with this Act and the rules and regulations made under this Act, and to monitor and supervise matters in this regard, (d) to provide adequate and convenient trading premises for securities transactions, (e) to provide employees capable of conducting transactions, (f) to arrange sufficient facilities and proper methods for contingency and security arrangements, (g) to make regulations, with the approval of the Board, for listing or causing listing and ??.

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Power to make regulations: Subject to this Act and the rules made under this Act, the securities market may, with the approval of the Board, make necessary regulations in respect of the following matters:- (a) The listing of securities and the trading of listed securities, (b) Membership, membership fees, and professional conduct of members, (c) Provisions regarding the service and conduct of employees and market inspection and monitoring for the operation of the securities market in a fair and transparent manner. 118. Power to make and implement directives: (1) Subject to this Act and the rules made under this Act, the Board may make and implement directives in respect of the following matters for the purpose of systematizing securities transactions:- (a) The registration and issuance permission of securities. (b) The arrangements for the

issuance and sale of securities, (c) The allotment of securities, (d) Professional conduct, (e) Other matters relating to the regulation of securities transactions. (2) It shall be the duty of all concerned to comply with the directives made by the Board pursuant to sub-section (1). 119. Effect of the lapse of Securities Ordinance, 2005: After the lapse of the Securities Ordinance, 2005, unless a contrary intention appears, such lapse shall not,- (a) revive anything not in force or existing at the time of the lapse of that Ordinance, (b) affect anything done or suffered under that Ordinance, or any matter already in progress under that Ordinance, (c) affect any right, privilege, obligation, or liability acquired, accrued, or incurred under that Ordinance, (d) affect any penalty, punishment, or forfeiture incurred under that Ordinance, (e) affect any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, punishment, or forfeiture as aforesaid, and any such legal proceeding or remedy may be instituted, continued, or enforced as if that Ordinance had not lapsed.